School of Professional Studies

AI CAPSTONE PROJECT PROPOSAL

MODULE 4: INDUSTRY-LEVEL PROBLEM IDENTIFICATION AND DOMAIN SELECTION

Project Title: Real-Time Detection of Fraudulent Credit Card Transactions Using Imbalanced Learning Techniques

Assigned Domain: Finance / Cybersecurity / FinTech

Group Number: Group 16

Group Members:

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Course: FUSE AI-201 AI Model Development and Implementation

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Google Drive:

https://drive.google.com/drive/folders/1xcGjkMtJP52IxCQ1quYbIwLdbp33TBe6?usp=sharing

ONE-SENTENCE RULE

"We are solving credit card transaction fraud for financial institutions and risk management teams using the Kaggle Credit Card Fraud Detection dataset; the AI task is supervised binary classification with extreme class imbalance; our MVP will be a real-time Streamlit simulation app that flags fraudulent transactions using an optimized machine learning classifier; and we have a realistic plan to build, implement, and deploy it across Modules 5 and 6."

1. Problem Statement and Domain Context

Problem Statement: Credit card fraud represents a massive financial liability and erodes consumer trust. Traditional rule-based fraud detection systems generate high rates of false positives (blocking legitimate purchases, which frustrates customers) while failing to catch sophisticated, novel fraud patterns.

Domain Context: Digital banking and e-commerce transactions processed globally by financial clearing networks.

Current Approach & Limitations: Static rule-based scripts or manual audits. Limitations include high latency, high false-positive rates, and inability to scale or adapt to new criminal strategies.

Problem Consequences: Billions of dollars lost annually in fraudulent chargebacks, operational costs from manual investigations, and customer churn due to blocked legitimate transactions.

Evidence / References: Worldline and Machine Learning Group (ULB) credit card transaction metrics; industry benchmarks on global card fraud losses.

2. Target Users and Stakeholders

Stakeholder / User	Role or relationship to problem	Need / expected value	Decision or action supported
1. Fraud Operations & Risk Management Teams	Primary end-users monitoring security logs	Real-time alerts with minimal false alarms	Reviewing flagged queues and freezing compromised accounts

2. Cardholders & Financial Institutions	Ultimate victims and financial stakeholders	Uninterrupted shopping experience and account safety	Maintaining trust and preventing financial loss

3. Dataset Identification and Acquisition Plan

Dataset item	**Group response / evidence**
Dataset / source name	Kaggle: Credit Card Fraud Detection (ULB)
Access URL / reference	https://www.kaggle.com/datasets/mlg-ulb/creditcardfraud
Records / observations	284,807 rows (transactions)
Features / variables	31 columns: Time, Amount, Class, and 28 PCA-transformed numerical features (V1 to V28)
Target / labels	Class (1 = Fraud, 0 = Legitimate)

Format	CSV / Tabular data
Time / geographic coverage	European cardholders over a 2-day period in September 2013
Known data-quality issues	Extremely severe class imbalance (only 492 frauds, ~0.172%); no missing values. Note: 1,081 exact duplicate rows were identified and removed during preprocessing, leaving 283,726 unique transactions (283,253 legitimate, 473 fraudulent). This deduplication step is applied in the accompanying notebook and reflected in the final model training.
Representativeness / bias limitations	Data reflects European transactions from 2013; patterns might need adaptation for modern digital wallets.
Access, legal, or privacy considerations	Anonymized via PCA (V1-V28), complying with privacy regulations (de-identified cardholder data).
Fallback data source / plan	Synthetic financial transaction simulation datasets (e.g., PaySim generator on Kaggle).

4. ML/DL Task Specification

Element	Specification
Business / industry problem	Minimizing financial loss from fraud while avoiding disruption to legitimate users.
ML/DL task type	Supervised Binary Classification with Extreme Class Imbalance.
Input features / information	Transaction timestamp (Time), monetary value (Amount), and anonymized PCA components (V1 through V28).
Target variable / label	Class: Binary indicator where 1 represents fraud and 0 represents a legitimate transaction.
Prediction point / horizon	Real-time at the exact moment of the transaction authorization request.
Model output	Probability score of fraud (ranging from 0.0 to 1.0) and a hard classification label (Approved vs. Flagged as Fraud).
Who will use the output?	Automated payment gateways and human fraud operations teams.

5. Proposed AI/ML Approach

Decision	Group response / justification

Primary model / model family	Gradient Boosting (XGBoost / LightGBM) or Random Forest.
Why this model is appropriate	Highly efficient for large tabular datasets, robust against non-linear feature interactions, and handles skewed feature distributions well.
Baseline	Logistic Regression with adjusted class weights (class_weight='balanced').
Alternative / fallback model	Unsupervised Anomaly Detection (Isolation Forest or Local Outlier Factor).
Key features / inputs	Amount, normalized Time, and PCA components (V1–V28).
Required compute / tools	Python, Scikit-Learn, XGBoost/LightGBM, Imbalanced-learn (SMOTE), Pandas, NumPy, Streamlit.
Initial implementation consideration	Strict application of data balancing techniques (like SMOTE or Tomek Links) **only** on training folds to prevent data leakage.

6. Success Criteria and Evaluation Plan

Metric / criterion	**Target**	**Why it matters**	**How it will be evaluated**

Primary ML/DL metric	**PR-AUC** ≥0.85	Accuracy is misleading here (99.8% baseline). PR-AUC targets the minority class specifically.	Area Under Precision-Recall Curve on test set.
Secondary metric	**Recall** ≥85% at manageable Precision.	Crucial to catch as many actual fraud cases as possible.	Confusion matrix analysis tracking False Negatives.
Baseline comparison	Outperform Logistic Regression baseline PR-AUC	Proves value addition of advanced tree ensembles.	Side-by-side validation comparison.
Practical / business	False Positive Rate <1%	Prevents blocking legitimate customer transactions.	Business threshold tuning on probability outputs.

7. MVP and Project Scope

Scope category	Definition
MVP: smallest useful version	A trained gradient boosting classifier connected to a Streamlit interface capable of real-time manual test vector evaluation.
In scope	Data ingestion, preprocessing, SMOTE implementation, model training, evaluation metrics tuning, and a web demo UI.

Out of scope	Live integration into global banking core APIs or real-time streaming infrastructure (Kafka/Spark streaming architecture).
Future extensions	Deep learning autoencoders for sequence transaction tracking and real-time API microservice packaging.

8. Model Development Roadmap

Planned stage	**What the group expects to do**	**Expected Module 5 output**
Data preparation	Load CSV, inspect data types, scale Time and Amount.	Cleaned dataset arrays ready for splitting.
EDA / feature engineering	Analyze correlation distributions and check class imbalance visuals.	EDA charts and correlation report.
Baseline	Fit Logistic Regression with balanced weights.	Baseline evaluation metrics (PR-AUC, Confusion Matrix).
Candidate model training	Train Random Forest, XGBoost, and LightGBM with hyperparameter tuning.	Trained candidate model checkpoints.
Evaluation	Compare models using PR-AUC and F1-score optimization.	Best performing model selection.

Error analysis	Examine False Positives and False Negatives to adjust classification thresholds.	Threshold optimization report.
Improvement / iteration	Integrate SMOTE or cost-sensitive learning adjustments.	Final tuned model.
Final selection	Lock down final production model artifact (.pkl or .joblib).	Final model ready for deployment.

9. Proposed Application Concept

Application element	High-level concept
Application type	Interactive web application using Streamlit.
Primary user	Risk management analyst / Project evaluator.
User input	Transaction amount, elapsed time, and sample PCA parameter modifiers.
Model output / result	Risk score percentage and decision badge (Approved vs. Fraudulent).
Key user interaction	Sliders and input boxes for transaction parameters with instant prediction execution.
Module 5 implementation focus	Core inference script and saved pipeline integration.

10. Intended Deployment Direction

Deployment element	High-level plan
Deployment environment	Cloud-hosted Streamlit Community Cloud or local container.
User access	Public web link for academic presentation and demonstration.
Model serving direction	Direct Python function execution inside app wrapper.
Key infrastructure / dependency	Python runtime environment, scikit-learn, xgboost, streamlit.
Main deployment risk	Dependency version mismatches during deployment bundle building.
Intended deployment level	**Demonstration / Pilot**

11. Resources and Group Responsibilities

Area	Responsible member(s)	Expected contribution
Domain / problem research	Jerusalem Mulat Mekonnen & Naod Mekonnen Yimer	Literature review, problem framing, metrics scoping
Data discovery / preparation	Jerusalem Mulat Mekonnen	Data ingestion, scaling, SMOTE handling

ML/DL development	Naod Mekonnen Yimer & Naol Melaku Ayana	Model building, XGBoost tuning, evaluation
Application implementation	Naol Melaku Ayana & Jerusalem Mulat Mekonnen	Streamlit interface layout and integration
Deployment / testing	Naol Melaku Ayana	Cloud deployment, latency testing
Documentation / presentation	Jerusalem Mulat Mekonnen, Naod Mekonnen Yimer & Naol Melaku Ayana	Final deck, GitHub documentation

12. Project Timeline

Stage	Key activities	Expected output	Responsible
Module 4: Proposal	Problem, data, ML/DL task, MVP, roadmap	Approved project proposal	Group 16
Module 5: Data & baseline	Preparation, EDA, baseline	Prepared data + baseline metrics	Jerusalem Mulat Mekonnen
Module 5: Model development	Training, evaluation, improvement	Selected optimized model	Naod Mekonnen Yimer & Naol Melaku Ayana

Module 5: Implementation	Application integration and testing	Working AI Streamlit app	Jerusalem Mulat Mekonnen, Naod Mekonnen Yimer & Naol Melaku Ayana
Module 6: Deployment	Serving, deployment, configuration	Deployed/pilot web system	Jerusalem Mulat Mekonnen, Naod Mekonnen Yimer & Naol Melaku Ayana
Module 6: Validation	Testing, validation, performance checks	Validated solution report	Jerusalem Mulat Mekonnen, Naod Mekonnen Yimer & Naol Melaku Ayana
Final demonstration	Presentation and documentation	Capstone deliverables package	Jerusalem Mulat Mekonnen, Naod Mekonnen Yimer & Naol Melaku Ayana

13. Risk Assessment and Mitigation

Risk	Likelihood	Impact	Mitigation / fallback
Data availability / quality	Low	High	Dataset is open-source and already pre-verified; fallback to synthetic transaction data generators.

Model performance	Medium	High	Severe class imbalance can yield poor precision; mitigate via SMOTE implementation and hyperparameter optimization using PR-AUC tracking.
Compute / resources	Low	Medium	Algorithms like XGBoost/LightGBM run efficiently on standard CPUs without requiring high-end GPUs.
Implementation	Medium	Medium	Streamlit application deployment code kept simple and modular to prevent integration failures.
Deployment	Low	Medium	Standardize library requirement versions (requirements.txt) early to avoid runtime breaks.

14. Ethical, Privacy, and Responsible AI

Responsible AI area	Issue / risk identified	Planned safeguard
Privacy / data protection	Financial records security	Dataset is entirely anonymized via prior PCA transformation (V1–V28).
Bias / representativeness	Regional European bias in 2013 dataset	Document limitations clearly; avoid production deployment in non-similar financial contexts.
Fairness	False positives blocking honest customers	Tune probability cut-off thresholds specifically to minimize false customer blocks.

Potential harm / misuse	Erroneous freezing of accounts	Ensure system acts as a decision support recommendation tool rather than executing automatic freezes without human verification.
Transparency / explainability	"Black box" boosting outputs	Use feature importance plots and evaluation metrics transparency.
Security / access control	Secure credential management	No real private user personal identifiable information (PII) is handled.

15. Expected Project Outcomes

Module 4: Approved structured AI project proposal document.

Module 5: Fully trained and optimized classification model pipeline alongside a functioning local Streamlit application prototype.

Module 6: Deployed interactive web service demonstration, validation summary report, and final presentation portfolio.

16. Future Improvements

Future improvement	Limitation it addresses	Why it is postponed
1. Deep Learning Sequence Models (LSTMs/Transformers)	Inability to track time-series sequential patterns across user accounts	Exceeds scope of tabular baseline MVP; requires transactional sequence logs.

2. Real-time Kafka Streaming Integration	Simulated manual form input instead of live bank stream ingestion	Requires complex enterprise infrastructure beyond course deployment limits.

17. Executive Summary

This project outlines an end-to-end machine learning solution designed to address the severe challenge of credit card fraud detection under conditions of extreme class imbalance (~0.17% positive class). Utilizing the public Kaggle ULB dataset containing 284,807 transactions, Group 16 establishes a supervised classification pipeline. Moving beyond misleading accuracy metrics, optimization focuses heavily on Precision-Recall AUC (PR-AUC) and threshold tuning using gradient boosting models (XGBoost/LightGBM) against a logistic regression baseline. The resulting pipeline culminates in an interactive Streamlit simulation web application, providing financial risk operations teams with real-time transactional risk assessment capabilities while preserving an optimal balance against false-positive customer disruptions.

18. References

Worldline and Machine Learning Group (ULB). *Credit Card Fraud Detection Dataset*. Kaggle. Available at: https://www.kaggle.com/datasets/mlg-ulb/creditcardfraud

Dal Pozzolo, A., Caelen, O., Johnson, R. A., & Bontempi, G. (2015). *Calibrating Probability with Undersampling for Unbalanced Classification*. IEEE Symposium on Computational Intelligence and Data Mining (CIDM).